

ECO 108—INTRODUCTION TO ECONOMICS
Summer 2015

Exam 3

July 2, 2015

Name (Print): _____

SBU ID: _____

Time Limit: 2 hours

Instructions: This exam contains 9 pages (not including this cover page). Check to see if any pages are missing. Enter all requested information on the top of this page and on the answer sheet provided. The exam has 60 multiple choice questions. Each question has a value of *1 point*. You must fill your answers in the answer sheet. The exam will be graded over 55 questions. Good luck!

Name _____

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.

- 1) The rate of unemployment is calculated as the number of _____
A) people in the civilian labor force divided by the number of unemployed.
B) unemployed workers divided by the number of employed workers.
C) unemployed divided by the number of people in the civilian labor force.
D) employed workers divided by the number of unemployed workers.
- 2) By definition, the labor force participation rate is _____
A) the annual rate of growth in the number of people who are unemployed and searching for available government-provided unemployment benefits.
B) the percentage of noninstitutionalized working-age individuals who are employed or seeking employment.
C) the annual rate of growth in the number of people who are either employed or searching for available jobs.
D) the percentage of institutionalized working-age individuals who are employed or seeking employment.
- 3) Increases in the duration of unemployment may _____
A) increase the number of discouraged workers.
B) increase the unemployment rate.
C) reflect a general downturn in economic activity that depresses job openings.
D) all of the above.
- 4) The number of people that are fired in a month is _____
A) a stock. B) a flow.
C) both a stock and a flow. D) neither a stock nor a flow.
- 5) Frictional unemployment will always exist since _____
A) some workers will always want to make a job transition.
B) the U.S. economy will continue to shrink.
C) mismatches in skills will always exist.
D) the capitalist system promotes unemployment.
- 6) If a person loses her job because her abilities and skills are a poor match with current requirements of employers, this person is considered _____
A) a discouraged worker. B) structurally unemployed.
C) seasonally unemployed. D) frictionally unemployed.
- 7) Which one of the following individuals would be classified as structurally unemployed? _____
A) Fay lost her job in early January when the Christmas store where she worked was closed.
B) Gail lost her job with the state because there was a reduction in the state budget.
C) Tommy lost his job when the steel mill where he worked was closed because domestic producers would not produce as efficiently and cheaply as foreign firms.
D) Joe was laid off by his construction company because there was a reduction in the number of houses built in the winter.

- 8) The fact that a number of lifeguards lose their jobs at the end of each summer would be counted as 8) _____
 A) cyclical unemployment. B) seasonal unemployment.
 C) frictional unemployment. D) structural unemployment.
- 9) Cyclical unemployment occurs when 9) _____
 A) a downturn in economic activity decreases employment.
 B) individuals give up the search for employment.
 C) individuals enter the labor market and make the rounds of potential employers.
 D) individuals with skills no longer valued in the domestic labor market cannot find employment.
- 10) The statistical measure of a weighted average of prices of goods and services that firms produce and sell is known as 10) _____
 A) the producer price index (PPI).
 B) the inflation rate.
 C) the consumer price index (CPI).
 D) the Gross Domestic Product (GDP) deflator.
- 11) The rate of inflation and the purchasing power of money are 11) _____
 A) totally unrelated. B) positively related.
 C) inversely related. D) randomly related.
- 12) The formula for computing a basic price index is 12) _____
 A) $(\text{cost of market basket in base year} / \text{cost of market basket today}) \times 100$.
 B) $(100 / \text{cost of market basket in base year}) + \text{cost of market basket today}$.
 C) $(\text{cost of market basket today} / \text{cost of market basket in base year}) \times 100$.
 D) $(\text{cost of market basket in base year} / 100) \times \text{cost of market basket today}$.

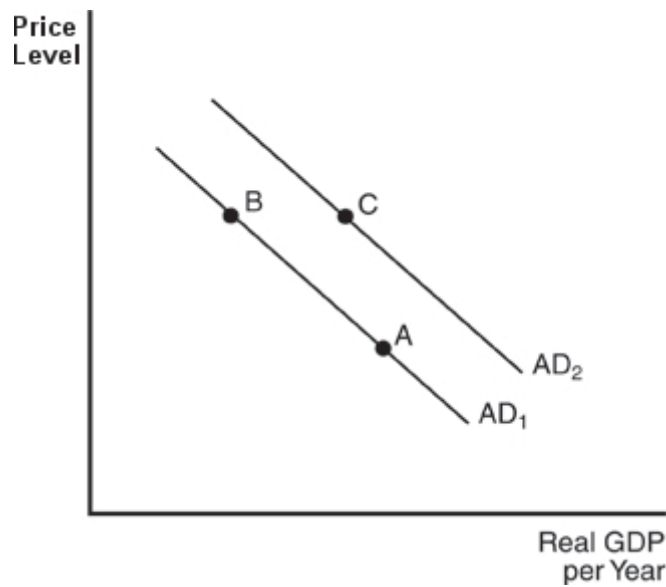
Market Basket	Quantity	2014 Price	2015 Price
CDs	10	\$32	\$24
Gasoline	200 gal	\$2.00	\$2.50

- 13) If 2014 is the base year, what is the price index for a market basket of goods for 2015 in the above table? 13) _____
 A) Zero, since the price of CDs fell and the price of gasoline increased
 B) 97.3
 C) 128.0
 D) 102.8
- 14) Most of the problems caused by inflation are caused by the fact that 14) _____
 A) there are no ways available for people to protect themselves against inflation.
 B) the inflation is often unanticipated and therefore comes as a surprise to individuals in the economy.
 C) inflation causes the purchasing power of the dollar to increase.
 D) anticipated inflation induces people to protect themselves against inflation.

- 15) The simple circular flow of income shows that the total income in an economy equals 15) _____
A) all taxes paid by households.
B) the total amount of money supplied by the government.
C) total expenditures.
D) total profits earned by firms.
- 16) In the factor market, households 16) _____
A) buy resources.
B) sell resources.
C) are neither buyers nor sellers of resources.
D) are both buyers and sellers of resources.
- 17) Which of the following is consistent with the circular flow of income? 17) _____
I. Goods and services flow in one direction.
II. Payments and incomes flow in one direction.
III. Sellers receive less than what buyers spend.
A) I only B) II only C) III only D) Both I and II
- 18) The dollar value of total output in the United States 18) _____
A) equals the value of all resources that can be found in the United States.
B) equals the market value of all final goods and services produced in the United States.
C) equals the value of all physical goods sold in the United States.
D) equals all the value of U.S. stocks on the world's stock exchanges.
- 19) U.S. Gross Domestic Product (GDP) does NOT include which of the following? 19) _____
A) the value of goods produced in a foreign country by U.S. owned firms
B) the purchase of all final goods and services by U.S. households
C) business investment in the United States
D) U.S. exports to other countries
- 20) Which of the following transactions is included in Gross Domestic Product? 20) _____
A) a gift card that a mother gives her son
B) a Social Security check received by a retired couple
C) tips received by a waitress who reports them to the IRS
D) a used textbook that one student gives another student in exchange for an iPod
- 21) The farmer pays \$0.2 for the seed that is sold to the miller for \$0.45; the miller makes flour and sells 21) _____
it to the baker for \$0.55. The baker makes bread and sells it to the grocery store for \$0.8 and the
store sells it to consumers for \$1.20. Gross Domestic Product (GDP) is
A) \$1.20. B) \$0.20. C) \$2.00. D) \$2.20.
- 22) Which of the following is NOT included in the calculation of Gross Domestic Product (GDP)? 22) _____
A) Mrs. T's use of a lawyer
B) the purchase of a raincoat by Mr. Z
C) Mr. J's purchase of a share of General Motors stock
D) All of these would be included.

- 23) Which of the following is a main limitation of GDP? 23) _____
- A) The real definition of what is and is not included in GDP is unclear.
 - B) GDP figures are grossly inaccurate due to sampling errors.
 - C) GDP is not a good measure of a nation's overall welfare.
 - D) GDP includes some products, which by their very nature are bad products, such as military weapons.
- 24) Which of the following statements is TRUE? 24) _____
- A) The value of a homemaker's services is included in Gross Domestic Product (GDP).
 - B) The value of intermediate goods is included in Gross Domestic Product (GDP).
 - C) Gross Domestic Product (GDP) may be calculated using the income or the expenditure approach.
 - D) The value of illegal activities is included in Gross Domestic Product (GDP).
- 25) Suppose that for the economy of Springfield, we have the following information for 2013: 25) _____
- consumption expenditures = \$4,000; wages = \$3,500; gross private domestic investment = \$1,300; government expenditures = \$2,000; exports = \$900; imports = \$1,100. Using the *expenditure approach* what would the Gross Domestic Product (GDP) be for Springfield in 2013?
- A) \$6,200
 - B) \$10,600
 - C) \$7,500
 - D) \$7,100
 - E) \$12,800
- 26) All of the following statements are correct EXCEPT 26) _____
- A) $NI = NDP + \text{indirect business taxes}$.
 - B) $\text{net exports} = \text{total exports} - \text{total imports}$.
 - C) $NDP = \text{Gross Domestic Product (GDP)} - \text{depreciation (capital consumption allowance)}$.
 - D) $\text{Gross Domestic Product (GDP)} = NDP + \text{capital consumption allowance (depreciation)}$.
- 27) If consumption expenditures are \$500, spending on fixed investment is \$100, imports are \$40, exports are \$75, the capital consumption allowance is \$25, government spending is \$50, and inventories have fallen by \$5, then Gross Domestic Product (GDP) is 27) _____
- A) \$50 greater than NDP.
 - B) the same as NDP.
 - C) \$20 greater than NDP.
 - D) \$25 greater than NDP.
- 28) Suppose that in 2015, nominal Gross Domestic Product (GDP) for the economy of Chiconia was \$10 trillion and the Gross Domestic Product (GDP) price index was 200.0. What is Chiconia's real Gross Domestic Product (GDP) in 2015? 28) _____
- A) \$10 trillion
 - B) \$20 trillion
 - C) \$5 trillion
 - D) \$200 trillion
- 29) Suppose 2009 is the base year. From 2009 to 2010, the price index increases from 100 to 102.5. If nominal Gross Domestic Product (GDP) is \$2,800 in 2010, then the real Gross Domestic Product (GDP) in 2010 is 29) _____
- A) \$2,732.
 - B) \$2,870.
 - C) \$2,700.
 - D) \$2,800.
- 30) The long run aggregate supply curve (LRAS) also represents 30) _____
- A) the full-employment level of output.
 - B) the full-adjustment level of output.
 - C) the full-information level of output.
 - D) all of the above.

- 31) Long-run aggregate supply reflects 31) _____
A) only foreign production from U.S. subsidiaries.
B) total production in the economy at full employment.
C) total spending in the economy at full employment.
D) both production and spending in the economy.
- 32) The long-run aggregate supply curve is vertical because 32) _____
A) the economy has contracted.
B) the economy has reached its potential real Gross Domestic Product (GDP) and is at full employment.
C) the economy has large numbers of unemployed.
D) the economy has yet to use all its available resources.
- 33) What is measured on the vertical axis of the aggregate demand/aggregate supply model? 33) _____
A) real Gross Domestic Product (GDP) B) the price level
C) the interest rate D) nominal income
- 34) A human resource such as ingenuity can be thought of as 34) _____
A) part of a country's endowment.
B) a causal factor for aggregate supply shifting left.
C) a positive for imports.
D) part of government spending programs.
- 35) Which of the following will cause the long-run aggregate supply curve to shift? 35) _____
I. Changes in technology
II. Changes in government spending
III. Changes in the money supply
A) I only B) II only C) I, II, and III D) only I and II
- 36) The total level of all planned expenditures in the economy best describes 36) _____
A) aggregate expenditures. B) aggregate supply.
C) aggregate demand. D) both B and C are correct.
- 37) All of the following explain the downward slope of the aggregate demand curve EXCEPT 37) _____
A) the availability of foreign substitute goods.
B) changes in the stock of real wealth held by individuals.
C) the presence of unused production capacity and unemployment.
D) the effect of changing interest rates on the quantity demanded of interest-rate-sensitive goods.
- 38) At each price level, the aggregate demand curve indicates 38) _____
A) the total amount of real planned expenditures.
B) the nominal value of total production of goods and services domestic income that will be produced.
C) the nominal Gross Domestic Product (GDP) that will be produced.
D) the total amount of real Gross Domestic Product (GDP) that will be produced.



- 39) In the above figure, a movement from point A to point B can be explained by _____
- A) the increase in exports to the foreign sector.
 - B) the decrease in interest rates.
 - C) a decrease in the real value of cash balances.
 - D) an decrease in the quantity of money in circulation.
- 40) The real-balance effect implies that when _____
- A) the price level decreases, the value of money balances held by individuals, firms, government, and foreigners increases and spending decreases.
 - B) the price level increases, the value of money balances held by individuals, firms, government, and foreigners decreases and spending decreases.
 - C) the price level increases, the value of money balances held by individuals, firms, government, and foreigners increases and spending increases.
 - D) the price level decreases, the value of money balances held by individuals, firms, government, and foreigners decreases and spending decreases.
- 41) One reason that the aggregate demand curve slopes downward is because _____
- A) higher price levels reduce net exports.
 - B) higher price levels reduce interest rates.
 - C) higher price levels increase investment.
 - D) higher price levels increase real wealth and consumption.
- 42) To find an economy's long-run equilibrium price level, locate the point where _____ and _____ cross and look to the left. _____
- A) long-run aggregate supply; aggregate demand
 - B) demand; supply
 - C) aggregate demand; price level
 - D) aggregate demand; short-run aggregate supply

- 43) Suppose total planned expenditures equal \$20 trillion when the value of the price level is 100. If the price level drops to 90, total planned real expenditures will equal 43) _____
A) less than \$20 trillion.
B) more than \$20 trillion.
C) \$20 billion.
D) None of the above: Cannot be determined without additional information.
- 44) Which of the following will result in secular deflation? 44) _____
A) a one-time rightward shift of the long-run aggregate supply curve
B) a one-time rightward shift of the aggregate demand curve
C) continuous rightward shifts of the long-run aggregate supply curve
D) continuous rightward shifts of the aggregate demand curve
- 45) What would happen in an economy if total planned production exceeded total planned real expenditures? 45) _____
A) Inventories would accumulate, and firms would tend to lower prices.
B) Inventories would be depleted, and firms would tend to lower prices.
C) Inventories would accumulate, and firms would tend to raise prices.
D) Inventories would be depleted, and firms would tend to raise prices.
- 46) Whenever the general level of prices rises because of continual increases in aggregate demand, we say that the economy is experiencing 46) _____
A) demand-side inflation.
B) aggregate supply shock.
C) monetary stagflation.
D) supply-side inflation.
- 47) Money functions as a(n) 47) _____
A) unit of account.
B) medium of exchange.
C) store of value.
D) all of the above.
- 48) For barter to occur there must be 48) _____
A) one person who pays cash.
B) hyperinflation.
C) two people willing to pay with credit.
D) a double coincidence of wants for each good to be exchanged.
- 49) When money is accepted as payment in a market transaction, it is functioning as a 49) _____
A) unit of accounting.
B) unit of investment.
C) medium of exchange.
D) store of value.
- 50) To be accepted as money, an item must perform all of the following functions EXCEPT 50) _____
A) be easily reproduced.
B) serve as a standard of deferred payment.
C) serve as a store of value.
D) be a medium of exchange.
- 51) Which of the following statements is NOT true about money? 51) _____
A) Money can only be coins and paper.
B) Money is a standard of deferred payment.
C) Money is any medium that is universally accepted by sellers and creditors.
D) Anything that serves as a medium of exchange, as a unit of accounting, as a store of value, and as a standard of deferred payment can be called money.

- 52) The two basic ways to define money are 52) _____
 A) the liquidity approach and the store of value approach.
 B) the transactions approach and the M1 approach.
 C) the transactions approach and the fiduciary approach.
 D) the transactions approach and the liquidity approach.
- 53) Which of the following is NOT included using the transactions approach to measuring the money supply (M1)? 53) _____
 A) traveler's checks B) certificates of deposit
 C) transaction deposits D) currency
- 54) The designate M1 measure of money consists of 54) _____
 A) credit cards and ATM cards.
 B) the most liquid types of money in the U.S. system.
 C) small time deposits only.
 D) gold and gold coins.
- 55) Which of the following is NOT part of M1 but is included in M2? 55) _____
 A) traveler's checks
 B) currency
 C) cash
 D) small-denomination certificates of deposits

Component	Amount (Billions of dollars)
Currency	\$600
Coins	35
Transaction Deposits	570
Saving Deposits	450
Travelers' Checks	8
Small Denomination Time Deposits	2,144
Money Market Mutual Fund Shares	1,430
Overnight Eurodollars	16
Available Credit on Credit Cards	1,000

- 56) According to the above table, the value of M1 is 56) _____
 A) \$1,205 billion. B) \$1,213 billion. C) \$1,888 billion. D) \$1,629 billion.
- 57) Suppose that a new customer opens a checking account and a saving account, placing \$50,000 in each. Later, the bank makes a loan of \$100,000 to a business firm. For this bank 57) _____
 A) assets increased by \$50,000 because the saving account is an asset, while liabilities increased by \$50,000 because the checking account is a liability.
 B) assets increased by \$100,000 because the loan is an asset, and liabilities increased by \$100,000 because the checking and saving accounts are liabilities.
 C) assets remained unchanged but liabilities increased by \$100,000 because of the loan.
 D) assets increased by \$100,000 because the checking and saving accounts are assets, and liabilities increased by \$100,000 because the loan is a liability.

- 58) The possibility that a borrower might engage in riskier behavior after a loan has been obtained is 58) _____
A) asymmetric information. B) moral hazard.
C) financial intermediation. D) adverse selection.
- 59) A system in which depository institutions hold reserves that are less than the amount of total 59) _____
deposits is called
A) fiat money banking. B) central banking system.
C) fractional reserve banking. D) required reserve banking.
- 60) Following a new deposit of \$500, the loans of a commercial bank increase by \$400. In this situation, 60) _____
the reserve ratio is most likely
A) 80 percent. B) 0 percent. C) 180 percent. D) 20 percent.